

Additional Guidance on the Attribution of Profits to Permanent Establishments Comments by NERA Economic Consulting¹

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to TransferPricing@oecd.org

to the Tax Treaties, Transfer Pricing and Financial Transactions Division, OECD/CTPA

Dear Sir, Dear Madam,

In the context of BEPS Action 7, the OECD has released on June 22, 2017, a document for public review (the “Draft”) titled “Additional Guidance on the Attribution of Profits to Permanent Establishments”.

We thank you for the opportunity to provide comments on this document.

With this Draft, the OECD has produced a document which explores aspects of one of the most subtle concepts in tax, the Permanent Establishment (“PE”) and in particular the relation between (i) the profit attributable to a Dependent Agent PE (“DAPE”) under Article 7 of the OECD Model Tax Convention (“MTC”) and the (ii) profit attributable to a Dependent Agent Enterprise (“DAE”²) under Article 9 of the MTC.

We appreciate that the Draft does not comment on the precedence of Article 7 over Article 9, leaving it with the responsibility of local jurisdictions. We agree with the Draft that the arm’s length principle / the principle of separate and independent enterprise dictate that “*The order in which Article 7 and Article 9 are applied should not impact the amount of profits over which the source country has taxing rights*”³. Yet, we also believe that the order may result in different taxing rights between individual entities and hence, may result in possible double taxation (or double non-taxation). Leaving this issue open to local preferences in host and home country will certainly be a recipe that will lead to the multiplication of controversy.

Moreover, the Draft set forward that the use of numerical examples had been avoided. Numerical examples would certainly have been quite helpful in testing the validity of the conceptual framework in the context of specific cases. We are concerned that potential for different interpretations of the definition of these items and of the precedence of Article 7 over Article 9 may

¹ These comments represent views of the authors and do not necessarily reflect the views of NERA Economic Consulting.

² or “Intermediary” in a non-Authorized OECD Approach (“AOA”) approach

³ §12, Discussion Draft

result in substantially different outcomes for the PE and the DAE and, possibly in different total taxing rights for the host country. Consequently we are not sure the examples meet their objectives to help understand the guidance and to illustrate concretely, simple situations one may refer to.

We provide further comment in Appendix A on some of the provisions of the Draft in this respect.

As a side comment, we are not certain the examples provided are useful as, by nature, they are too simplistic and rely on implicit assumptions. The key to establishing relevant facts regarding the relations between parties concerned is the recognition that factual case situations are often complex and unique. Recognizing this requires a serious functional analysis, including a value chain analysis. That feeds the identification of the potential presence of PEs, and allows establishing the appropriate allocation of profits to the subsidiary enterprise resp. the PE of the main enterprise.

In respect of the Examples, we wish to mention once more the deceptive role of simplified case descriptions such as used for the Examples. Sellco sells to buyers in country S; it does not own the products. Under “Analysis” par. 25 mentions that Sellco does not do so as an independent agent. The term apparently refers to the economic notion of independence. The analysis then continues to refer to TradeCo’s revenue from sales to customers in country S minus (item 1) “the amount ...it would have received if it had sold to an unrelated party” in the same circumstances, but “attributing to such party ownership of the assets” etc. It is unclear to us how this attribution can be the consequence of a test of unrelated transactions in the same circumstances. “No ownership of assets or stock” should mean the same in both cases.

We further note that the conceptual framework seems to consist of one equation with two unknowns: item 1 is apparently based on a CUP for the sale of goods to SellCo and item 3 is supposed to be established based on whatever method under article 9. It will not allow to reach conclusions in quite a few situations.

As a matter of practicality, we recommend that the OECD issues a clear conclusion as to whether or not Article 9 be given the precedence over Article 7 - as the OECD seems to be mutely suggesting through a number of statements.

A positive conclusion would, we think bring clarity, simplicity and certainty in the international tax landscape.

We are looking forward to further share with the OECD our views on how develop appropriate tools and concepts to come to a fair taxation when dealing with PE’s in for example more complex industries such as the digital economy through the future developments under Action 1.

Yours truly

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Appendix A. Comments on selected sections of the Draft

A.1. Order in which Article 7 and Article 9 are applied

We understand from paragraph 12 that

The order in which Article 7 and Article 9 are applied should not impact the amount of profits over which the source country has taxing rights⁴.

We understand from this paragraph that

- #1: an analysis under Article 9 of the transaction between the Non-Resident Enterprise (“NRE”) and the DAE, where the DAE would be compensated properly for its economic role, i.e. in light of its conduct and actual economic contribution to value creation

would come to the same result as

- #2: an analysis, under Article 7, where the DAPE would be allocated, the share of the profit resulting from the DAE activity, but not attributed to the DAE under Article 9.

We are of the opinion that this situation #2 would mean that Article 9 has not been properly applied.

Similarly we note the mention by the Draft that:

When the accurate delineation of the transaction under the guidance of Chapter I of the TPG indicates that the [DAE] is assuming the risks of the transactions of the [NRE], the profits attributable to the PE could be minimal or even zero⁵.

We understand this sentence to mean that where the DAE is rightly compensated under Article 9, the profit attributable to the DAPE could be minimal or nil, and as such, comforts the interpretation worded above.

A seamless practical integration between Article 5 and 7 on the one hand, and Article 9 on the other hand is further supported by the recommendations in terms of administrative approaches to enhance simplification whereby the Draft recommends – as we understand it – that countries:

.... collect tax only from the [DAE] even though the amount of tax is calculated by reference to activities of both the [DAE] intermediary and the [DAPE].⁶

⁴ §12, Discussion Draft

⁵ §19 Discussion Draft

⁶ §21, Discussion Draft

Due to the absence of a common standard in the order the OECD opens the door to complexity, uncertainty, administrative burden and double taxation, because of possible different interpretations and practices by countries.

A.2. Relationship between Article 9 and Article 7 Concepts (e.g. SPFs)

The language in the examples states that:

Article 9 and the Transfer Pricing Guidelines are applicable, either directly or by analogy, in determining the amounts [required to determine the profit attributable to the PE]⁷

In this respect we note that, under the principle of separate and independent enterprises which is at the core of Article 7, it is probably difficult to see situations where Article 9 concepts would not be appropriate for Article 7 purposes. We would tend to think that Article 7 concepts should subsume and complement Article 9 concepts but may not contradict them.

A.3. Exhaustion of host country's taxing rights

Paragraph 19 states that:

It should be noted that the host country's taxing rights are not necessarily exhausted by ensuring an arm's length compensation to the intermediary⁸

We would much appreciate that the OECD develop its analysis on this particular comment.

We understand that the OECD refers to the fact that the host country's taxing rights are not necessarily exhausted by ensuring a seemingly arm's length compensation to the intermediary in case of improperly delineated transaction of the DAE. If the OECD were to confirm our understanding, we would urge it to clarify its wording as we believe that improperly delineated transaction may not result in arm's length compensation at all.

⁷ §25, §30, §34, §48, Discussion Draft

⁸ §19, Discussion Draft